ISSUER REVIEW · FY2026

LATRAPS

OK

Latvia · Agricultural cooperative (grain and rapeseed trading, storage, malt; pea protein plant under construc

Position OK. LATRAPS is a cooperative of 1,214 Latvian farmers; FY2025/26 profit EUR 2.8m, and both bond covenants are met: adjusted equity ratio 29.4% (floor 20%), EBITDA / interest 2.7x (floor 2.0x)[2,3]. To watch: debt is rising with the EUR 132m pea protein plant[4].

REVENUE · FY2026
240.2 EUR m
▼ 5.5 % vs FY2025

NET PROFIT · FY2026
2.77 EUR m
▲ 1.1 % vs FY2025

EQUITY RATIO · FY2026
29.4 %
▼ 3.4 p. p. vs FY2025

EBITDA / INTEREST · FY2026
2.7 x
• 0x vs FY2025

Quick summary

- **Periods:** the financial year runs 1 July - 30 June; FY2026 = Jul 2025 - Jun 2026, 6M2026 = Jul-Dec 2025[5,6].
- **Sales lower, profit stable:** revenue EUR 240.2m (254.3m), profit EUR 2.77m (2.74m), 1.1% of turnover; grain prices stayed low and part of the harvest missed food-grade standards due to wet weather[7].
- **Covenants met:** adjusted equity ratio 29.4% (32.8%), floor 20%; adjusted EBITDA / interest 2.7x (2.7x), floor 2.0x[8].
- **Debt rising:** net debt about EUR 62.4m (45.1m a year earlier; own calculation), total assets EUR 142.0m (121.4m)[9].

Key facts

ISSUER RATING
nerasta (no credit rating found)

ANALYSIS DATE
2026-10-22

NEXT REPORT
Audited annual report FY2025/26 - expected November 2026 (FY2024/25 report was signed 2025-11-24[1])

COUNTRY
Latvia

Securities held

LATRAPS 7.5% bond 2028 (First North)
LV0000805349 · 7.5% · 2028-12-12
no separate rating found

01 Instruments held and ISINs

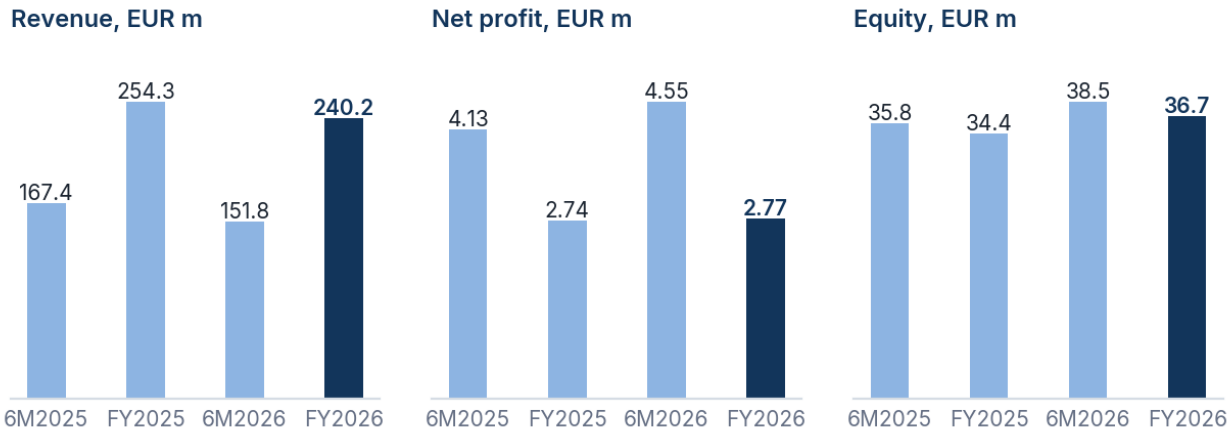
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
LV0000805349	LATRAPS 7.5% bond 2028 (First North)	7.5%	2028-12-12	no separate rating found	Quarterly coupon; listed 2025-03-05

02 Key ratios

METRIC	6M2025	FY2025	6M2026	FY2026	CHANGE
Revenue, EUR m[6,10,5]	167.4*	254.3*	151.8*	240.2*	▼ 5.5 % vs FY2025
Net profit, EUR m[6,5]	4.13*	2.74*	4.55*	2.77*	▲ 1.1 % vs FY2025
Total assets, EUR m[11,12,13]	105.1*	121.4*	119.6*	142.0*	▲ 17.0 % vs FY2025
Equity, EUR m[14,15]	35.8*	34.4*	38.5*	36.7*	▲ 6.7 % vs FY2025
Equity ratio[16,8]	39.8%*	32.8%*	37.1%*	**29.4%***	▼ 3.4 p. p. vs FY2025
EBITDA / interest[16,8]	2.5x*	2.7x*	2.8x*	**2.7x***	• 0x vs FY2025
Net debt, EUR m[17,15]	–	45.1ᶜ	–	62.4ᶜ	▲ 38.4 % vs FY2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- The cooperative buys, stores and exports its members' grain and rapeseed (to nearly 30 countries); storage capacity nearly 220,000 t; owns LATMALT (malt, 100%)[18,19].
- A pea protein plant is being built in Jelgava (ASNS Ingredient, 51.42%): up to 70,000 t of peas a year, EUR 132m investment, completion planned in 1H 2027[20].
- EUR 4.2m of investment in the Jaunpagasts, Aizkraukle and Jēkabpils sites (EU co-financed) was completed in September 2026; the Alpha Osta stake was sold[21].

04 Financials

- Gross profit EUR 16.9m (17.6m), interest expense EUR 2.86m (2.71m)[5]. Equity EUR 36.7m (34.4m)[15].
- EBITDA is not reported separately; only the covenant ratio EBITDA / interest is given[8].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Pea protein plant in Jelgava (EUR 132m) - completion in 1H 2027	Under construction; schedule unchanged[4]	On schedule[4].	**In progress**
Storage investments (EUR 4.2m, EU co-financed)	Completed in September 2026[4]	Done[4].	**Met**
Sell the Alpha Osta stake	Sale completed[22,23]	Done[23].	**Met**

06 Investor information & conclusions

- **Instrument held:** a 7.5% bond, EUR 8m, issued December 2024, maturing 2028-12-12, quarterly coupon; Nasdaq Riga First North since 2025-03-05[24,25].
- **Covenants:** adjusted equity ratio ≥20% (29.4%), adjusted EBITDA ≥2x interest (2.7x) – met[8]. Headroom shrank over the year (equity ratio 32.8% → 29.4%).
- **Ranking and security:** the bond is a small part of debt (8 of ~EUR 63.5m); ranking and security were not found in the reports[26].
- **Conclusion:** moderate risk – thin profit margin and rising debt, but covenants are met and profit is stable.

07 Market and environment

- **Low grain prices:** grain prices stayed low while production costs remained high – selling prices well below the previous five years[27]. EU growers have higher costs than competing export regions[27].
- **Weather:** an overly wet summer and autumn hampered harvesting; an unusually large share of grain missed food-grade standards and was sold as feed, though overall yields beat forecasts[28].
- **Result:** turnover EUR 240m, profit EUR 2.7m (1.1% of turnover); rising business and labour costs in Latvia weigh on profitability[29].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.38% (2026-10)	3.23%	2.72%	▲ 0.66 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

Automatic news scan (Google News, LV), 2026-07-25 – 2026-10-23: 1 articles.

2026-10-19 OTHER LATRAPS nopelnījis 2,7 miljonus eiro Investoru Klubs

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - Grain and rapeseed trading and processing in the EU
  - None of the activities restricted by the SEB Agriculture policy (deforestation, uncertified palm oil or soy) found[30,31].
- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No fines, violations or complaints
  - No corruption convictions[32].
- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-23).
- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (2026-10-22).
  - News summary 2026-07-25 – 2026-10-23: 1 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - The pea protein plant produces plant protein from local crops[4].
- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - Targets: +50% renewable energy over five years, 10 electric vehicles a year[33].
- ✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
  - No red flags.
  - The company states it has not yet carried out a formal climate risk assessment[34].
- ✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

  Applicable
  - The Agriculture policy[35].

  Met
  - A first sustainability report under ESRS / VSME, a whistleblowing channel, a zero workplace accident target[36].

  Could be improved
  - Climate risk assessment[34].

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: sustainability reporting has started and no serious gaps were found.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Scope 1 CO2 emissions and headcount are reported (three years of data)[37].

Additional comments:

Conclusion: No exclusions or red flags. The first sustainability report is published; a climate risk assessment has not been done yet.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Agriculture, Fishing, Aquaculture and Animal Welfare sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. LATRAPS - Annual report FY2024/25 (audited, KPMG Baltics), p. 10, 2025-11-24
2. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 12, 20, 2026-09-30
3. LATRAPS - Sustainability report FY2025/26, p. 6, 2026-09-30
4. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 7, 2026-09-30
5. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 12, 2026-09-30
6. LATRAPS - 6-month report H1 FY2025/26 (Jul-Dec 2025, unaudited), p. 12, 2026
7. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 4-5, 7, 12, 2026-09-30
8. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 20, 2026-09-30
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12. LATRAPS - Annual report FY2024/25 (audited, KPMG Baltics), p. 12, 2025-11-24
13. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 13, 2026-09-30
14. LATRAPS - 6-month report H1 FY2025/26 (Jul-Dec 2025, unaudited), p. 14, 2026
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20. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 1, 7, 2026-09-30
21. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 2, 7, 2026-09-30
22. LATRAPS - Annual report FY2024/25 (audited, KPMG Baltics), p. 8, 2025-11-24
23. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 2, 2026-09-30
24. Nasdaq Baltic - LATRAPS 7.5% bond LV0000805349, 2026-10-22
25. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 19, 2026-09-30
26. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 18-19, 2026-09-30
27. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 4, 2026-09-30
28. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 4, 5, 2026-09-30
29. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 6, 2026-09-30
30. LATRAPS - 12-month report FY2025/26 (unaudited, local GAAP), p. 5, 2026-09-30
31. SEB Agriculture, Fishing, Aquaculture and Animal Welfare sector policy (2026-04-23), p. 6-10, 2026-04-23
32. LATRAPS - Sustainability report FY2025/26, p. 23, 37, 2026-09-30
33. LATRAPS - Sustainability report FY2025/26, p. 19, 2026-09-30
34. LATRAPS - Sustainability report FY2025/26, p. 18, 2026-09-30
35. SEB Agriculture, Fishing, Aquaculture and Animal Welfare sector policy (2026-04-23), p. 5-10, 2026-04-23
36. LATRAPS - Sustainability report FY2025/26, p. 3, 19, 36, 2026-09-30
37. LATRAPS - Sustainability report FY2025/26, p. 22, 27, 2026-09-30

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